

I talk to a lot of people in the course of a year — investors, executives, analysts and economists. Ideas can come from anywhere. But my best ideas often come from people. Hidden stories exist. And there is a person, somewhere, who knows that story.

Make an effort to find those people and their stories.

100-Bagger Miscellany

Here's more miscellany on 100-baggers and how to get them.

Investing abroad. Investing abroad is a way to expand the menu. However, if you are investing abroad to flee risks at home, I'd check that impulse.

I know some Americans are interested in investing abroad because they are so down on US politics or the US economy or whatever.

Phelps made a good point in his book that I will repeat here. He said when we invest abroad we often trade risks we see for risks we can't see or are not aware of. Be mindful of this. Many investors have had their heads handed to them in far-off lands that seemed alluring. It's happened to me more than once.

Having said that, the principles in this book are universal and timeless and apply to all markets everywhere.

Inflation. Throughout this book, I've dealt in nominal dollars, unadjusted for inflation. This doesn't mean inflation isn't real, of course. Odds are, if you stick US dollars under a mattress for 10 years, you're going to lose purchasing power. Put another way, \$20 may get you a haircut today, but it probably won't in 10 years.

My main message to you is to not obsess over it. Again, I speak from experience. I know many who get so hung up on worrying about the US dollar that they confine themselves to investing in gold stocks and natural-resource companies as they worry about the end of the world.

This is extremely costly. The best inflation fighters are 100-baggers.

They are so good at beating inflation that I can talk about inflation in a few paragraphs.

I've taken to reading Warren Buffett's annual letters — 50 of them — from first to last, something I've never done. What's interesting about the early letters is the amount of time given to discussing